

Bella Fade

Why the Bella Fade works:

- Oftentimes, a big institution will place an aggressive order at the open to take advantage of the liquidity to fill their position
- We can take advantage of this opportunity by waiting for this order to end or get overwhelmed by an opposite player that has more size
- We will look to fade this move as the momentum dies out and trade this for a mean reversion

Entry Rules (inverted rules for the short side):

- Enter aggressively on the trendline break

Stop Loss Rules:

- The stop should be placed one cent below the LOD
- We will give this trade two tries as this trade sometimes will break the LOD but rebid immediately

Exit Rules:

- We are looking for two waves for this trade
- We will exit half of our position into the first wave and exit the other half into the second wave

Factors that increase the probability of this trade working:

- We want to see a “flip” on the tape where the sellers dry up and the buying overwhelms the selling
- We should get a relatively quick move away from the LOD
- This trade works best when taken at a support level

Factors that decrease the probability of this trade working:

- We don't want to take this trade when there is a negative catalyst weighing on the stock
- We also do not want to see this trade consolidate near the lows for long as this would indicate that there is still selling pressure

- This trade won't work well if the stock breaks support

The ideal times of day to take this trade:

- First 15 minutes of the trading day

When do we avoid this trade entirely?:

- We will avoid this trade entirely if the catalyst is more than an 8 or if the stock is breaking a strong technical level

